

of March 2017, a 230 megahash per second (MH/s) mining machine could be purchased for \$4,195,³ and it would take 70,000 of these machines to recreate Ethereum's hash rate, totaling \$294 million in value. Also, because Ethereum is supported by GPUs and not ASICs, the machines can more easily be constructed piecemeal by a hobbyist on a budget.

Using \$660 million for Bitcoin and \$294 million for Ethereum, while the network values for the two cryptocurrencies are respectively US\$17.1 billion and \$4.7 billion, we get a range of 3.9 cents to 6.3 cents of capital expenditure per dollar secured by the network. This range is a good baseline for the innovative investor to use for other cryptoassets to ensure they are secured with a similar level of capital spend as Bitcoin and Ethereum, which are the two best secured assets in the blockchain ecosystem.

**BE CAREFUL WHEN DIRECTLY COMPARING HASH RATES
BETWEEN CRYPTOASSETS**

While it may initially seem logical to do, it's often not appropriate to directly compare the hash rate of different cryptoassets to judge relative security, because the type of machines providing the hash rate can vary among different blockchains, as can their cost. As we covered in [Chapters 4 and 5](#), different blockchain architectures use different hash functions in the consensus process. Different hash functions are suitable for different kinds of chips, be they CPUs, GPUs, or ASICs, and these chips come in computers that vary in cost. For example, Bitcoin is mined